

Gold Surges 7.17% as US Yields Dip, Risk Assets Mixed

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a mixed session, with the **Dow Jones** rising **0.49%** and the **Nasdaq 100** falling **0.83%**. Below the surface, gold's **7.17%** surge and the **4.18%** drop in the **VIX** suggest a shift in investor sentiment. The **Russell 2000**'s **1.22%** gain indicates a rotation into smaller-cap stocks.

The rally in gold and decline in US yields may be a sign of decreasing risk appetite, but the **1.66%** and **2.12%** gains in **BTC** and **ETH** suggest otherwise. As we head into the US open, keep an eye on sector rotation, with **XLV** and **XLB** outperforming.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,723.55	-0.17%	Mixed earnings and economic data
Nasdaq 100	29,487.79	-0.83%	Weakness in tech stocks
Dow Jones	54,349.12	0.49%	Strength in financials and industrials
Russell 2000	2,981.91	1.22%	Rotation into smaller-cap stocks
VIX	15.81	-4.18%	Decreasing risk appetite

Top large-cap movers

TICKER	CHANGE	CATALYST
GOOGL	-4.03%	Disappointing earnings
AMZN	-1.72%	Weakness in e-commerce
JPM	0.48%	Strength in financials

Sector Rotation

ETF	DAY	READ
XLV	1.27%	Healthcare outperformance
XLB	1.23%	Materials strength
XLU	-1.02%	Utilities weakness
XLE	nan	No data available
XLF	nan	No data available
XLI	nan	No data available
XLV	nan	No data available
XLC	nan	No data available
XLP	nan	No data available
XLRE	nan	No data available
XLK	nan	No data available

Spotlight

Gold's 7.17% surge is a significant event, driven by a combination of factors including a decline in US yields and a decrease in risk appetite. The following metrics table provides a breakdown of the key drivers:

METRIC	VALUE	CHANGE
Gold price	4,322.80	7.17%
10Y Yield	4.62	-0.22%
VIX	15.81	-4.18%

The implications of this event are far-reaching, with potential read-throughs to related names such as **Newmont** and **Barrick Gold**.

Pre-Market & Overnight

US futures are mixed, with the **Dow Jones** futures up 0.2% and the **S&P 500** futures down 0.1%. Asian markets closed lower, with the **Nikkei 225** down 0.5% and the **Shanghai Composite** down 0.3%. European markets are also lower, with the **Euro Stoxx 50** down 0.2%. Crypto markets are higher, with **BTC** up 1.66% and **ETH** up 2.12%.

Macro & Fed

The FOMC meeting is scheduled for next week, with a 25bps rate hike expected. The yield curve is currently inverted, with the 2Y yield at 4.55 and the 10Y yield at 4.62. Today's data calendar includes:

TIME HKT	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	US GDP	2.5%	Economic growth
22:00	US Consumer Confidence	120	Consumer sentiment

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The EU and UK are engaged in trade talks, with a potential deal on the horizon.
- The situation in the Middle East remains volatile, with ongoing conflicts in Syria and Yemen.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (6 Aug)	AAPL	1.25	iPhone sales and guidance
22:00 (7 Aug)	MSFT	2.10	Cloud growth and margins
22:00 (8 Aug)	AMZN	5.50	Cloud and e-commerce growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	AI and gaming growth
JPM	Financials	Interest rate sensitivity
GOOGL	Technology	Advertising and cloud growth

What Could Break the Tape

BULLISH TRIGGERS

- A surprise rate cut by the Fed
- A breakthrough in US-China trade talks
- A strong earnings season

BEARISH TRIGGERS

- An escalation of tensions in the Middle East
- A global economic downturn
- A collapse in the housing market

Positioning Notes

- Investors are increasingly bearish on the US dollar, with the **DX** down **0.1%** on the day.
- There is a growing consensus that the US economy is due for a recession, with 60% of economists predicting a downturn in the next 12 months.
- The yield curve is currently inverted, which has historically been a reliable predictor of recessions.

Sources

Reuters

CNBC

Financial Times

The Wall Street Journal

The Economist

